

Policy Overview & Core Purpose

NovaRetail recognizes that employee continuous learning directly drives operational excellence and retail technology innovation. This policy establishes the official guidelines, eligibility standards, approval workflows, and financial reimbursement parameters for professional certification programs undertaken by active employees.

1. Strategic Objectives & Eligibility

Reimbursements are intended for certifications that enhance skill sets relevant to NovaRetail's current operations or future strategic growth areas (e.g., Supply Chain Optimization, E-Commerce Development, Data Analytics, Retail Management, and Cloud Architecture).

Eligible Staff

Full-time regular employees with at least **6 months of continuous service** at NovaRetail and a minimum performance rating of "Meets Expectations".

Pre-Approval Rule

All certifications must receive **written pre-approval** from the Department Head and HR prior to course enrollment or exam registration.

Passing Grade

Reimbursement is contingent upon **successful completion** and issuance of official credentials or passing score certificates.

2. Annual Financial Allowance Tiers

NovaRetail caps certification reimbursements based on job levels and role alignment. Annual allowances reset on a calendar-year basis (Jan 1 – Dec 31).

| Tier / Category               | Qualifying Certifications                                                       | Annual Limit | Coverage Rate            |
|-------------------------------|---------------------------------------------------------------------------------|--------------|--------------------------|
| Tier 1: Core Technical & Tech | AWS/Azure Cloud, Retail Analytics, PMP, Supply Chain Management (APICS/CSCP)    | \$2,500 USD  | 100% of Exam & Materials |
| Tier 2: Leadership & Business | Agile Leadership, Category Management, HR/SHRM, Digital Marketing Credentials   | \$1,500 USD  | 100% Exam / 75% Prep     |
| Tier 3: Operational Skills    | Advanced Excel, Customer Experience Standards, Logistics Safety, Store Ops Tech | \$750 USD    | 100% of Direct Fees      |

3. Covered vs. Excluded Expenses

- Covered Expenses:** Direct examination registration fees, official required study guides or textbooks, mandatory prep courses, and annual maintenance/renewal fees (for required role credentials).
- Excluded Expenses:** Unapproved retake fees for failed attempts, travel/lodging expenses (unless explicitly

## 4. Step-by-Step Approval & Reimbursement Workflow

To guarantee reimbursement, employees must follow the structured end-to-end workflow prior to initiating training or paying exam fees.

- 1

**Pre-Approval Request:** Submit Form HR-702 (Certification Approval) via the NovaRetail HR Portal along with course details, costs, and justification of business relevance.
- 2

**Department & HR Sign-Off:** Obtain digital signatures from your direct Line Manager and the People & Culture Learning Lead.
- 3

**Completion & Exam:** Complete the exam or course. Employees are granted up to 16 hours of paid learning leave per year for exam dates.
- 4

**Expense Submission:** Submit proof of passing grade and itemized payment receipts within **45 days** of exam completion via Concur Expense System.

## 5. Post-Certification Retention & Clawback Agreement

To safeguard NovaRetail's investment in employee growth, financial reimbursements exceeding **\$1,000 USD** within a rolling 12-month period are subject to a continuous service agreement.

| Departure Timing Post-Reimbursement | Repayment Requirement (Clawback)          |
|-------------------------------------|-------------------------------------------|
| Resignation within 0 to 6 months    | <b>100% repayment</b> of reimbursed funds |
| Resignation within 7 to 12 months   | <b>50% repayment</b> of reimbursed funds  |
| Resignation after 12 months         | <b>0% repayment</b> (Fully vested)        |

**Important Note on Involuntary Separations:** Repayment obligations do not apply if an employee is separated from NovaRetail due to position elimination, organizational restructuring, or non-disciplinary lay-offs.

## 6. Governing Rules & Policy Exceptions

- Retake Policy:** NovaRetail will cover the cost of a failed exam retake only if failure was due to extraordinary documented circumstances (e.g., medical emergency) and approved by the VP of People.
- Tax Implications:** Certification reimbursements are processed in accordance with local tax laws. Reimbursed expenses directly related to current job duties are typically tax-free, but employees should consult their tax advisor.
- Exceptions:** Any exception to financial caps or eligibility rules must receive prior written authorization from NovaRetail Executive Leadership.

